

## Business remains strong and steady

## HDFC Bank (HDFCB) reported its Q3FY22 performance which beat our estimates on the profitability front.

- **NII came in at INR 184.43 Bn**, +4.3% QoQ / +13% YoY and 1% above our est.
- **Other Income came in at INR 81.84 Bn**, +10.6% QoQ / +9.9% YoY and 1% above our est.
- **PPOP came in at INR 167.76 Bn**, +6.1% QoQ / +10.5% YoY and in line with estimates.
- **Provisions came in at INR 29.94 Bn**, -23.7% QoQ / -12.3% YoY and 25% below our est.
- **PAT came in at INR 103.42 Bn**, +17.1% QoQ / +18.1% YoY and 8% above our est.
- **EPS stood at INR 18.7 vs INR 16.0 / INR 15.9 in Q2FY22 / Q3FY21 respectively**

## Financial Highlights

- **Asset Quality:** Bank's asset quality improved during the quarter, with GNPA's sequentially down by 9 bps at 1.26% and NNPA's down by 3 bps to 0.37%. (With strong underwriting standards coupled with top quality customer pool and adequate provisioning buffers, we believe the bank is relatively in a better position when compared to peers in terms of NPA additions and credit costs). Incrementally, the bank highlighted that bounce rates are normalizing (and in some cases better than pre-covid levels), with expectation of a sustained improvement trend
- Bank's annualized credit costs (provision as % of advances) stood at 0.95% in Q3FY22 (vs 1.31% QoQ/1.26% YoY), which is lowest in last ten quarters. Bank held floating provisions of Rs 14.51 Bn and contingent provisions of Rs 86.36 Bn (vs Rs 77.56 Bn QoQ) as on Dec-21. Total provisions (comprising specific, floating, contingent and general provisions) were 172% (vs 163% QoQ) of the gross non-performing loans as on Dec-21.
- **Robust loan growth:** Bank has shown credit growth of 16.5% YoY/5.2% QoQ in Q3FY22. Out of which, Retail loans grew by 13.3% YoY, commercial & rural banking loans grew by 29.4% YoY and other wholesale loans grew by 7.5% YoY. Overseas advances constituted 3.4% of total advances. We believe that the bank's loan growth will be higher than system average for the next two to three years.
- Out of retail loans, Home loans/LAP grew 4.3%/6.1% QoQ. Personal loans/ Payment Products grew 5.6%/8.1% QoQ, while Gold loans up by 1.1% QoQ.

## Financial Summary

| Y/E Mar (Rs Bn) | FY20 | FY21 | FY22E | FY23E |
|-----------------|------|------|-------|-------|
| NII             | 562  | 649  | 738   | 853   |
| Net profit      | 263  | 311  | 365   | 440   |
| Net worth       | 1710 | 2037 | 2323  | 2670  |
| Adj BVPS        | 305  | 361  | 408   | 469   |
| EPS (Rs)        | 48   | 56   | 66    | 79    |
| P/ABV (x)       | 5.1  | 4.3  | 3.8   | 3.3   |
| P/E (x)         | 32   | 27   | 23    | 19    |

Dalal &amp; Broacha Research, Company

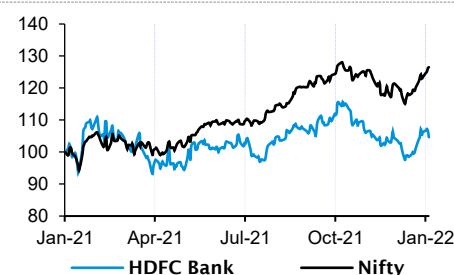
| Rating | TP (Rs) | Up/Dn (%) |
|--------|---------|-----------|
| BUY    | 1923    | 24        |

## Market data

| Current price        | Rs        | 1545      |
|----------------------|-----------|-----------|
| Market Cap (Rs.Bn)   | (Rs Bn)   | 8564      |
| Market Cap (US\$ Mn) | (US\$ Mn) | 115516    |
| Face Value           | Rs        | 1         |
| 52 Weeks High/Low    | Rs        | 1724/1342 |
| Average Daily Volume | ('000)    | 5753      |
| BSE Code             |           | 500180    |
| Bloomberg            |           | HDFCB:IN  |

Source: Bloomberg

## One Year Performance



Source: Bloomberg

| % Shareholding | Dec-21     | Sep-21     |
|----------------|------------|------------|
| Promoters      | 25.8       | 25.8       |
| FII            | 37.5       | 38.2       |
| DII            | 23.1       | 22.7       |
| Others         | 13.6       | 13.3       |
| <b>Total</b>   | <b>100</b> | <b>100</b> |

Source: BSE

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- **Strong liabilities franchise:** Deposits grew by 13.8% YoY/2.8% QoQ in Q3FY22 led by CASA growth of 24.6% YoY/3.5% QoQ taking CASA ratio at 47.1% (Vs 43% YoY).
- **Operating Expenses:** Opex stood at Rs. 98.51 Bn, is up by 14.9% YoY and 6.2% QoQ. The YoY increase in opex is driven by 19.9% YoY increase in employee expenses & increase of 12.6% YoY in other expenses.
- Consequently, Bank's cost to income ratio up by 91 bps YoY to 37%, backed by lower net income (NII + other income) growth of 12.1% vs opex growth of 14.9% in Q3FY22. We believe this ratio is not sustainable at the current level and expect it (CIR) to increase going ahead with higher technology spends and retail asset pickup.
- Reported NIM stood flat QoQ at 4.1%. With strong liability franchise and increasing share of retail loans in overall loan mix, we believe the bank could see improvement its margins from current levels.
- Growth in fee income was weak, up by 2% YoY/2.6% QoQ. Fees excluding payment products up by 17% YoY, while fees from the payment products declined due to lower fees on car loan products, fee waivers (especially on credit cards) during festive season and a cautious approach to card-based lending.
- **Well-capitalized balance sheet:** Bank's capital adequacy stood at 19.5% (vs 18.9% YoY), of which Tier I capital was 18.4% (vs 17.6% YoY).

**Deposits grew by 13.8% YoY/2.8% QoQ led by CASA growth of 24.6% YoY/3.5% QoQ taking CASA ratio at 47.1% (Vs 43% YoY).**

**Bank's cost to income ratio up by 91 bps YoY to 37%, backed by lower net income (NII + other income) growth of 12.1% vs opex growth of 14.9% in Q3FY22.**

**Growth in fee income was weak, up by 2% YoY/2.6% QoQ**

**Bank's capital adequacy ratio stood at 19.5% (vs 18.9% YoY), of which Tier I capital was 18.4%**

## Valuation and outlook

Bank's profitability was better than our estimates, supported by stable margin, better loan growth and lower provisions. Incrementally, the bank highlighted that bounce rates are normalising (and in some cases better than pre-covid levels), with expectation of a sustained improvement trend. Meanwhile, the bank continues to invest in physical / digital footprint, positioning itself for capitalizing on future growth opportunities. We believe that the bank's strong balance sheet, better liability franchise and higher capital adequacy would allow the bank to deliver strong sustainable performance and capitalize on emerging opportunities. Furthermore, the bank's well diversified loan mix with a higher share of the salaried segment and better-operating profits provide resilience and command premium valuations. At CMP the stock trades at 3.8x its FY22E ABV and 3.3x its FY23E ABV. We have maintained a 'Buy' rating on HDFC Bank with a price target of Rs 1923, valuing the stock at 4.1x FY23E P/ABV.

## Highlights of the Conference Call

### Asset Quality witnessed further improvement with lower slippages

- GNPA stood at 1.26% in Q3FY22 (vs 1.35% QoQ /1.38% YoY). Out of which, 18 bps are standard but included in the NPA as one of the other facilities of the borrowers is NPA.
- Annualised slippage ratio stood at 1.6% (~Rs 46 Bn) vs 1.8% QoQ. Agri seasonally contributed ~ Rs 10 Bn to slippages (~25 bps annualised). Recoveries & upgrades stood at Rs 24 Bn (~25 bps), write off stood at Rs 22 Bn (~23 bps) and sale of NPAs stood at Rs 2.6 Bn (~ 2 bps).
- Cheque bounce rate continues to improve in Q3FY22 for most of the retail products and it reached pre-covid levels. The early Jan-22 bounce rate also shows continued improvement.
- Demand resolution at 97-98% for most of the products are back to pre-covid levels.
- The restructuring under RBI resolution framework for Covid-19 stood at 137 bps on borrower level (including~28 bps of other facilities of the same borrower which are not restructured).
- Out of total restructuring loans, 40% are secure with good collateral and with predominant good CIBIL score, while the unsecured portion includes ~2/3 salaried customers and ~40% of having good CIBIL score of over 700. The demand resolution is showing encouraging trends. The impact of restructuring on the bank's GNPs can be ~10-20 bps at any given quarter.
- Core credit cost ratio stood at 57 bps in Q3FY22 vs 76 bps QoQ and 116 bps YoY on a performance basis. Total annualized credit cost stood at 94 bps (including contingent provision 30 bps) vs 125 bps YoY/130 bps QoQ. Normalised credit cost is in the range of 100-120 bps (pre-pandemic levels).
- Recoveries which are recorded as miscellaneous income stood at ~25 bps of gross advantages vs 23 bps QoQ.
- Provisions include Rs. 900 Cr towards contingent provisions taking total contingent provisions to Rs. 8636 Cr (0.7%).

**Cheque bounce rate continues to improve in Q3FY22 for most of the retail products and it reached pre-covid levels**

**Demand resolution at 97-98% for most of the products are back to pre-covid levels.**

**The restructuring under RBI resolution framework for Covid-19 stood at 137 bps on borrower level**

**The impact of restructuring on the bank's GNPs can be ~10-20 bps at any given quarter.**

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### Growth Drivers

- Investments in key enablers are picking up with the bank opening 93 branches in Q3FY22 and 525 branches over the past 21 months during Covid 19 period, positioning itself for capitalizing on future growth opportunities. Also, the bank onboarded a little over 5000 people in Q3FY22 and over 17000 people over the past 21 months.
- Bank has further scaled up its emerging growth segments such as easy EMIs, Consumer durables and targeting preferred customers through segmented sales and marketing.
- Consumer finance business has one lakh plus active distribution points and over 5 Mn customers with easy EMI options.
- Bank's merchant offering is scaling to provide enhanced value-added services across various segments. Bank has 2.85 million acceptance points as of Dec-21, reported YoY growth of 35%.

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**Bank has further scaled up its emerging growth segments such as easy EMIs, Consumer durables and targeting preferred customers through segmented sales and marketing.**

### Fees & commission income

- Fees & commission income constitute ~2/3 of other income. Out of which, retail constitutes 93% and wholesale constitutes 7%.
- Fees excluding payment products up by 17% YoY, while fees from the payment products declined due to lower fees on car loan products, lower cash advances over limit fees and a cautious approach to card-based lending.
- Normalized core fee growth will be ~ mid to high teens

Out of total Fees & commission, retail constitutes 93% and wholesale constitutes 7%.

Normalized core fee growth will be ~ mid to high teens

### Strong liability franchise

- Retail constituted ~ 83% of total deposits and contributed to the entire deposit growth since last year.
- Bank opened ~2.4 Mn new liability relationships in Q3FY22
- CASA deposits grew by 24.6%, resulting CASA ratio at 47.1% of total deposits as of Dec 31, 2021.

Retail constituted ~ 83% of total deposits & contributed to the entire deposit growth since last year.

### Digital initiatives

- Bank's technology setup strengthened with capacity for Upay has been tripled and net banking & mobile banking capacity has been doubled to manage 90000 users simultaneously.
- Bank received ~245 Mn visits on its website averaging 31 Mn unique customers per month during Q3FY22, with 60% visits from mobile devices.
- Management signed MoU with 2 large payment banks for distributing certain products

Bank's technology setup strengthened with capacity for Upay has been tripled and net banking & mobile banking capacity has been doubled to manage 90000 users simultaneously

### Other Important Highlights

- Bank has issued 9.5 lakh cards in Q3FY22. Credit card spends increased by 24% YoY and Debit card spends up by 14% YoY
- Cost to income ratio stood at 37% in Q3FY22, which might increase going ahead with higher technology spends and retail asset pickup.

Bank has issued 9.5 lakh cards in Q3FY22. Credit card spends increased by 24% YoY and Debit card spends up by 14% YoY

### HDB Financial Services

- Total loan book stood at Rs 604.78 Bn, with a secured loan book comprising 74% of the total loan.
- Credit disbursement picked up in Q3 FY22 growing 9% QoQ and 11% YoY.
- GNPAs stood at 6.05% (Flat QoQ); 80% stage 3 book secure carrying provision coverage (PC) of ~41% as of Dec-21, while remaining 20% unsecured book carrying PC of ~84%.
- Liquidity coverage ratio stood at 222%; CAR at 20.3% with Tier 1 at 14.9% as of Dec-21.
- PAT stood at Rs 3.04 Bn vs Rs 1.92 Bn QoQ and net loss of Rs 1.46 Bn YoY.

Credit disbursement picked up in Q3 FY22 growing 9% QoQ and 11% YoY.

80% stage 3 book secure carrying provision coverage of ~41% as of Dec-21, while remaining 20% unsecured book carrying provision coverage of ~84%

### HDFC Securities

- Total income up by 58% YoY to Rs 5.36 Bn.
- Overall customer base stood at 3.4 Mn, up 30% YoY
- As on Dec-21, the company had 213 branches across 147 cities / towns

Overall customer base stood at 3.4 Mn, up 30% YoY

## Financials

| Profit & Loss Account    |              |              |              |              |              |              |              |
|--------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| Rs Bn                    | Q3FY22       | YOY          | QOQ          | Q2FY22       | Q1FY22       | Q4FY21       | Q3FY21       |
| Interest Earned          | 325          | 7.9%         | 3.6%         | 314          | 305          | 304          | 301          |
| Interest Expended        | 140          | 1.9%         | 2.6%         | 137          | 135          | 133          | 138          |
| <b>NII</b>               | <b>184</b>   | <b>13.0%</b> | <b>4.3%</b>  | <b>177</b>   | <b>170</b>   | <b>171</b>   | <b>163</b>   |
| Other Income             | 82           | 9.9%         | 10.6%        | 74           | 63           | 76           | 74           |
| <b>Net Income</b>        | <b>266</b>   | <b>12.1%</b> | <b>6.1%</b>  | <b>251</b>   | <b>233</b>   | <b>247</b>   | <b>238</b>   |
| Operating expenses       | 99           | 14.9%        | 6.2%         | 93           | 82           | 92           | 86           |
| <b>PPoP</b>              | <b>168</b>   | <b>10.5%</b> | <b>6.1%</b>  | <b>158</b>   | <b>151</b>   | <b>155</b>   | <b>152</b>   |
| Provisions               | 30           | -12.3%       | -23.7%       | 39           | 48           | 47           | 34           |
| <b>Profit Before Tax</b> | <b>138</b>   | <b>17.1%</b> | <b>16.0%</b> | <b>119</b>   | <b>103</b>   | <b>108</b>   | <b>118</b>   |
| Tax                      | 34           | 14.1%        | 12.8%        | 30           | 26           | 27           | 30           |
| <b>Net Profit</b>        | <b>103</b>   | <b>18.1%</b> | <b>17.1%</b> | <b>88</b>    | <b>77</b>    | <b>82</b>    | <b>88</b>    |
| Balance Sheet            |              |              |              |              |              |              |              |
| Net worth                | 2296         | 17.7%        | 5.0%         | 2187         | 2125         | 2037         | 1951         |
| Deposits                 | 14459        | 13.8%        | 2.8%         | 14063        | 13458        | 13351        | 12711        |
| Borrowings               | 1904         | 58.5%        | 27.1%        | 1498         | 1313         | 1355         | 1201         |
| Other liabilities        | 723          | 6.6%         | 3.3%         | 700          | 643          | 726          | 678          |
| <b>Total liabilities</b> | <b>19383</b> | <b>17.2%</b> | <b>5.1%</b>  | <b>18448</b> | <b>17539</b> | <b>17469</b> | <b>16542</b> |
| Cash & Balances          | 1684         | 59.8%        | -0.5%        | 1693         | 1200         | 1195         | 1054         |
| Investments              | 4226         | 2.0%         | 1.5%         | 4163         | 4361         | 4437         | 4144         |
| Advances                 | 12609        | 16.5%        | 5.2%         | 11988        | 11477        | 11328        | 10823        |
| Fixed Assets             | 55           | 14.9%        | 4.8%         | 52           | 50           | 49           | 48           |
| Other Assets             | 809          | 71.0%        | 46.6%        | 552          | 452          | 459          | 473          |
| <b>Total Assets</b>      | <b>19383</b> | <b>17.2%</b> | <b>5.1%</b>  | <b>18448</b> | <b>17539</b> | <b>17469</b> | <b>16542</b> |
| Important ratios (%)     |              |              |              |              |              |              |              |
| Gross NPAs               | 1.3          | 45bps        | -9bps        | 1.4          | 1.5          | 1.3          | 0.8          |
| Net NPAs                 | 0.4          | 28bps        | -3bps        | 0.4          | 0.5          | 0.4          | 0.1          |
| PCR                      | 70.8         | -1769bps     | -11bps       | 70.9         | 67.9         | 69.8         | 88.5         |
| Cost to income ratio     | 37.0         | 91bps        | 1bps         | 37.0         | 35.0         | 37.2         | 36.1         |
| CASA                     | 47.1         | 410bps       | 31bps        | 46.8         | 45.5         | 46.1         | 43.0         |
| CAR                      | 19.5         | 60bps        | -50bps       | 20           | 19.1         | 18.8         | 18.9         |

Source: Dalal & Broacha Research, Company

Exhibit 1:

| Profit & Loss Account |            |            |             |             |
|-----------------------|------------|------------|-------------|-------------|
| Rs in Bn              | FY20       | FY21       | FY22E       | FY23E       |
| Interest Earned       | 1148       | 1209       | 1390        | 1676        |
| Interest expended     | 586        | 560        | 652         | 823         |
| <b>NII</b>            | <b>562</b> | <b>649</b> | <b>738</b>  | <b>853</b>  |
| Other Income          | 233        | 252        | 292         | 335         |
| <b>Net Income</b>     | <b>794</b> | <b>901</b> | <b>1030</b> | <b>1188</b> |
| Operating Exp         | 307        | 327        | 371         | 438         |
| <b>PPOP</b>           | <b>487</b> | <b>574</b> | <b>659</b>  | <b>750</b>  |
| Provisions            | 121        | 157        | 170         | 162         |
| <b>PBT</b>            | <b>366</b> | <b>417</b> | <b>488</b>  | <b>588</b>  |
| Tax                   | 103        | 105        | 123         | 148         |
| <b>PAT</b>            | <b>263</b> | <b>311</b> | <b>365</b>  | <b>440</b>  |

Source: Dalal &amp; Broacha Research, Company

Exhibit 2:

| Balance Sheet         |              |              |              |              |
|-----------------------|--------------|--------------|--------------|--------------|
| Rs in Bn              | FY20         | FY21         | FY22E        | FY23E        |
| CAPITAL & LIABILITIES |              |              |              |              |
| Capital               | 5.5          | 5.5          | 5.5          | 5.5          |
| Reserves & Surplus    | 1704         | 2032         | 2318         | 2664         |
| Deposits              | 11475        | 13351        | 15466        | 18165        |
| Borrowings            | 1446         | 1355         | 1290         | 1379         |
| Other Liabilities     | 674          | 726          | 753          | 785          |
| <b>TOTAL</b>          | <b>15305</b> | <b>17469</b> | <b>19832</b> | <b>23000</b> |
| ASSETS                |              |              |              |              |
| Cash & Balances       | 866          | 1195         | 1009         | 989          |
| Investments           | 3918         | 4437         | 4989         | 5643         |
| Advances              | 9937         | 11328        | 13269        | 15750        |
| Fixed Assets          | 44           | 49           | 53           | 58           |
| Other Assets          | 539          | 459          | 511          | 559          |
| <b>TOTAL</b>          | <b>15305</b> | <b>17469</b> | <b>19832</b> | <b>23000</b> |

Source: Dalal &amp; Broacha Research, Company

Exhibit 3:

| Ratios (%) | FY20 | FY21 | FY22E | FY23E |
|------------|------|------|-------|-------|
| Growth     |      |      |       |       |
| NII        | 16.5 | 15.5 | 13.7  | 15.6  |
| PPOP       | 22.6 | 17.7 | 14.8  | 13.9  |
| Net profit | 24.6 | 18.5 | 17.3  | 20.5  |
| Deposits   | 24.3 | 16.3 | 15.8  | 17.5  |
| Advances   | 21.3 | 14.0 | 17.1  | 18.7  |
| Returns    |      |      |       |       |
| ROA        | 1.9  | 1.9  | 2.0   | 2.1   |
| ROE        | 16.4 | 16.6 | 16.7  | 17.6  |
| Efficiency |      |      |       |       |
| C/I Ratio  | 38.6 | 36.3 | 36.1  | 36.9  |
| CASA       | 42.2 | 46.1 | 46.5  | 46.9  |

Source: Dalal &amp; Broacha Research, Company

Exhibit 4:

| Ratios (%)    | FY20 | FY21 | FY22E | FY23E |
|---------------|------|------|-------|-------|
| Per Share     |      |      |       |       |
| BV (Rs)       | 312  | 370  | 419   | 482   |
| ABV (Rs)      | 305  | 361  | 408   | 469   |
| EPS (Rs)      | 48   | 56   | 66    | 79    |
| Valuation     |      |      |       |       |
| P/BV (x)      | 5.0  | 4.2  | 3.7   | 3.2   |
| P/ABV (x)     | 5.1  | 4.3  | 3.8   | 3.3   |
| P/EPS (x)     | 32   | 27   | 23    | 19    |
| Asset quality |      |      |       |       |
| GNPA          | 1.3  | 1.3  | 1.4   | 1.3   |
| NNPA          | 0.4  | 0.4  | 0.5   | 0.4   |
| PCR           | 72.0 | 69.8 | 68.5  | 67.1  |

Source: Dalal &amp; Broacha Research, Company



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